

A \$38M Power Center Refi Shows Retail Debt Is Available for the Right Sponsor and Basis

Full-term IO and cash-out proceeds signal lender confidence in a narrow lane of retail real estate.

The most important detail in Gantry's \$38 million refinancing of Mesa Grand is not the loan amount. It is the structure: full-term interest-only payments with cash-out proceeds, provided by an institutional balance sheet lender. That combination does not appear in a market where lenders are retreating.

It appears where a lender sees a basis it can defend, a sponsor it trusts, and an income stream durable enough to survive the next five years without amortization. The borrower is a private real estate investor. The asset is Mesa Grand, a 224,000-square-foot regional power center in Mesa, roughly 19 miles east of Phoenix.

Tenants include Famous Footwear, Burlington Coat Factory, Michaels, Dollar Tree, Texas Roadhouse, Starbucks, Chili's, and a soon-to-open Crunch Fitness. This is not a mall. It is a necessity- and service-oriented retail hub with a tenant roster built on discount, dining, and daily errands. Gantry's Tim Storey, Chad Metzger, and Andrew Christopherson represented the borrower. The five-year fixed-rate loan comes from an institutional balance sheet lender, with Gantry acting as subservicer.

The transaction matters because it reveals where retail debt is available and where it is not. Retail has been bifurcated for years, but the divide is now sharper. Lenders are not financing retail broadly. They are financing assets that behave like infrastructure: low vacancy, strong foot traffic, national and creditworthy tenants, and a location that serves a growing population base. Phoenix fits that demographic story. Mesa Grand fits the asset profile.

The full-term interest-only structure is the clearest signal. A lender that offers IO for the entire loan term is not hedging against a quick exit. It is betting that the cash flow will remain stable enough to service the debt without principal reduction. That is a vote of confidence in the asset's income durability, not in retail as a sector. The cash-out proceeds add another layer.

The borrower is not just refinancing maturing debt. It is extracting equity. That means the lender underwrote enough value above the existing loan balance to justify returning capital to the sponsor. In a market where many owners are injecting equity to refinance, the ability to pull cash out is a meaningful distinction. Who benefits? The borrower, clearly.

It gets five years of rate certainty, no amortization, and liquidity returned to its balance sheet. The lender benefits by placing capital into a structure with limited refinance risk and a sponsor with a track record. Gantry benefits by demonstrating its ability to source institutional balance sheet execution for a private client in a competitive market. Who is exposed? Every retail owner without this combination of tenant quality, location, and sponsor credibility.

The market is not rewarding retail broadly. It is rewarding a narrow set of assets that look more like essential real estate than discretionary retail. Owners of Class B and C centers with weaker tenant rosters or secondary locations will find this loan structure unavailable. What should the market watch next? The Phoenix retail market is absorbing space and benefiting from population growth. But the real signal is in the lender type.

An institutional balance sheet lender chose to deploy \$38 million at full-term IO with cash-out proceeds. That suggests the lender sees this as a core-plus or even core asset, not a transitional bet. If more balance sheet lenders follow this playbook, the refinancing window for high-quality retail will remain open. If they pull back, the window closes quickly. The deal is not proof that retail debt is back.

It is proof that the right retail debt is available for the right retail asset. That distinction matters more than the loan amount.

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We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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